

22CV00092 Finley Mathieu et al vs Carin Craig, MD et al

County: santa-barbara

Division: Civil Law & Motion

Department: 4 SB-Anacapa

Hearing date: 2026-09-18

Motion: Minor's Compromise

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Tentative Ruling: Finley Mathieu et al vs Carin Craig, MD et al

Case Number

22CV00092

Case Type

Civil Law & Motion

Hearing Date / Time

Fri, 09/18/2026 - 10:00

Nature of Proceedings

Minor's Compromise

Tentative Ruling

For all reasons discussed herein, the motion for approval of compromise of claim of minor is denied.

Background:

This action commenced on January 10, 2022, by the filing of the complaint by plaintiff Finley Mathieu (Mathieu or "plaintiff"), a minor by and through his guardian ad litem Sarka Holeckova (Holeckova or "petitioner"), against defendants Carin Craig, M.D. (Dr. Craig), Sansum Clinic (Sansum), and Santa Barbara Cottage Hospital (Cottage Hospital), alleging one causes of action labeled medical malpractice negligence. (Compl., ¶ 10(f) & p. 4.) By way of the complaint, Mathieu alleges that defendants failed to monitor, observe, control, and evaluate Mathieu during and after his birth and delivery on November 22, 2019. (Id. at ¶ GN-1.) Mathieu further alleges that, as a result, he suffered substantial pain, suffering, and permanent impairment. (Ibid.)

On February 24, 2022, Cottage Hospital filed its answer to the complaint generally denying its allegations and asserting nine affirmative defenses.

On March 11, 2022, Dr. Craig and Sansum Clinic filed their respective answers to the complaint, each generally denying its allegations and asserting twenty-two affirmative defenses.

On February 28, 2023, Mathieu filed a request for dismissal of the complaint as to Cottage Hospital only, without prejudice.

On March 17, 2023, Mathieu filed an amendment to the complaint substituting Alejandro R. Soffici, M.D. (Dr. Soffici) for the fictitious name Doe 1. Dr. Soffici filed an answer to the complaint on May 31, 2023, generally denying its allegations and asserting thirteen affirmative defenses.

On November 1, 2024, Mathieu, a minor by and through his guardian ad litem Holeckova, filed a complaint in Case No. 24CV06198 against defendants Sansum Clinic, Sansum Santa Barbara Medical Group Santa Barbara, Cottage Hospital, Sutter Health (Sutter), and Sutter Health Greater Central Coast, for Medical Malpractice arising from the same events as alleged in Case No. 22CV00092.

On May 2, 2025, this action was consolidated with Case No. 24CV06198, with this case designated as the lead case.

On February 18, 2026, plaintiff filed a notice of settlement of entire case.

On April 27, 2026, plaintiff, through Holeckova, petitioned for approval of the compromise of plaintiff's claim. The petition was unopposed.

On May 8, 2026, the minor's compromise was approved. By way of the court's ruling, petitioner was ordered to complete and submit to the court an Order to Deposit Funds in Blocked Account (Judicial Council Form MC-355) no later than May 10, 2026, and thereafter file with the court an acknowledgment from any depository of receipt of the Order and the funds within 15 days of deposit.

On May 15, 2026, Cottage Hospital, Dr. Craig, and Sansum filed objections to petitioner's proposed order to deposit funds into a blocked account. On May 18, 2026, Sutter joined in Cottage Hospital's objection.

Defendants' basis for their objections was that the proposed order to deposit funds into a blocked account does not comply with the law and is improper.

On June 4, 2026, plaintiff filed an ex parte application for an order enforcing the minor's compromise and compelling payment of the settlement funds. On June 8, 2026, the ex parte was continued for a noticed hearing and a briefing schedule was set.

Defendants each filed oppositions to the application.

On June 23, 2026, petitioner filed a reply to the oppositions. Petitioner argued that if the court adopts defendants' arguments, and the funds are deposited into a bank in plaintiff's name, plaintiff will be unable to qualify for Colorado Medicaid benefits.

On June 26, 2026, the court made the following orders:

Plaintiff's motion to enforce minor's compromise and compel payment of settlement funds is denied.

The court's order approving compromise of plaintiff's claim, dated May 8, 2026, is vacated.

Plaintiff shall file and serve briefing regarding proposed disposition of the settlement funds along with a new proposed order approving the minor's compromise and new proposed order to deposit funds in blocked account, no later than July 17, 2026.

The briefing, and orders, must comply with California law by, among other things, identifying that the funds belong to Finley Mathieu and that the funds are being deposited into a FDIC Insured account in the State of California as required by the Probate Code. The briefing and orders are to be specific regarding the disposition of the funds as well as the manner of any withdrawals from the fund. All other settlement terms are to remain unchanged from the May 8, 2026 order.

Defendants shall file and serve objections, or notices of non-opposition, to plaintiff's briefing and proposed orders no later than July 31, 2026.

A further hearing regarding the Minors Compromise and proposed Orders is scheduled for August 7, 2026, at 10 a.m. in this department.

Plaintiff did not comply with the briefing schedule. Rather, on July 31, 2026, plaintiff filed: (1) "Notice of Filing Amended Petition for Approval of Compromise of Claim and Disposition of Settlement Proceeds for Minor; Statement Regarding Timing of Filing"; (2) "Amended Petition for Approval of Compromise of Claim or Action or Disposition of Proceeds of Judgment for Minor or Person with a Disability"; and (3) "Amended Order Approving Compromise of Claim or Action or Disposition of Proceeds of Judgment for Minor or Person with a Disability."

Petitioner did not file, as was ordered, a proposed order to deposit funds in blocked account. The order that was previously submitted by petitioner is the document that caused defendants to object.

On August 5, 2026, two days before the scheduled hearing, petitioner filed a second amended petition for approval of compromise (SAP).

On August 7, 2026, the court ordered:

The hearing on the petition is continued to September 18, 2026, at 10:00 a.m. in this department.

Plaintiff shall file and serve his proposed order to deposit funds in blocked account no later than August 14, 2026.

Any opposition from defendants to the petition for approval or the order, or to the order to deposit funds in blocked account, if any, shall be filed and served no later than September 4, 2026. Any reply to opposition shall be filed and served no later than September 11, 2026.

Petitioner again failed to follow the court order, and instead, on September 8, 2026, without obtaining leave to do so, filed a "Supplemental Brief Supporting Petition to Compromise Re: Why Blocked Account Cannot be Used and Why California Special Needs Trust Laws are Preempted by Federal Law."

Analysis:

"The requirements that a guardian ad litem be appointed and that the proposed compromise of a minor's claim be approved by the trial court exist to protect the best interests of the minor." (Pearson v. Superior Court (2012) 202 Cal.App.4th 1333, 1338.)

"While the guardian ad litem has the power to assent to procedural steps that will facilitate a determination of the ward's case [citation], the guardian ad litem's authority is that of " "an agent with limited powers." ' [Citation.]" [Citation.] For example, when a guardian ad litem believes that settling a case is in the ward's best interests, that decision requires court approval. (Code Civ. Proc., 372.) The court has a duty to ensure that the ward's rights are protected by the guardian ad litem." (McClintock v. West (2013) 219 Cal.App.4th 540, 549.)

"A petition for court approval of a compromise of, or a covenant not to sue or enforce judgment on, a minor's disputed claim; a compromise or settlement of a pending action or proceeding to which a minor or person with a disability is a party; or the disposition of the proceeds of a judgment for a minor or person with a disability under Probate Code sections 3500 and 3600-3613 or Code of Civil Procedure section 372 must be verified by the petitioner and must contain a full disclosure of all information that has any bearing on the reasonableness of the compromise, covenant, settlement, or disposition. Except as provided in rule 7.950.5, the petition must be submitted on a completed Petition for Approval of Compromise of Claim or Action or Disposition of Proceeds of Judgment for Minor or Person With a Disability (form MC-350)." (Cal. Rules of Court, rule 7.950.)

Most of the facts set forth in the SAP are the same as those contained in the original petition. Those facts are:

Plaintiff is 6 years old with a birth date of November 22, 2019. (Petition, ¶ 2.)

On November 22, 2019, Holeckova presented to Cottage Hospital with a dichorionic diamniotic twin pregnancy at 28 weeks gestation, which was complicated by preterm premature rupture of membranes. She was hospitalized for 6 weeks and induced at 34 weeks 3 days. On November 22, 2019, twin A, Max, was born healthy. Plaintiff was born almost an hour later and suffered a Hypoxia-Ischemic Encephalopathy injury during his birth. He lacked respiratory effort and was intubated due to persistent apnea and hypoxia. He was resuscitated at birth and hospitalized. (Petition, ¶¶ 4, 5.)

As a result of the incident, plaintiff suffered a Hypoxic-Ischemic Encephalopathy injury during his birth. His birth injuries caused G-Tube placement for dysphagia, global development delay, dystonic/dyskinetic cerebral palsy, and cortical vision impairment. Due to the permanent neurological injuries that plaintiff sustained secondary to HIE, he will never be able to graduate high school, live independently, or be gainfully employed. He will require 24-hour skilled supervision and assistance with all of his activities of daily living. (Petition, ¶ 6.)

Immediately after birth, plaintiff required extensive resuscitation, followed by cooling and mechanical ventilation with intubation for 2 days and stayed in the NICU for about 3 months. He presented with feeding difficulties due to failed functional suck, and a G-Tube was placed for feedings. He underwent three cranial MRIs during his admission, with the later reading as being consistent with hypoxic ischemic encephalopathy. Plaintiff was referred for follow-up by the High-Risk Neonatal Clinic, Regional Center, and due to plaintiff's spastic quadriplegic cerebral palsy with overlying dystonia, plaintiff is followed by pediatrics, neurology, GI with nutrition, orthopedics, ophthalmology, and pulmonary. Plaintiff has been getting left leg serial casting due to left foot turning in. He sees his pediatrician approximately once or twice per year and seeks a neurologist and gastroenterologist every six months. Plaintiff also frequents a nutritionist and an ophthalmologist and is currently getting treatment for his left foot. (Petition, ¶ 7.)

Plaintiff has permanent brain injury, hypoxic ischemic encephalopathy, and will require 24-hour skilled supervision and 100 percent assistance with his daily living activities. (Petition, ¶ 8 & attached medical records.)

The terms of the settlement are that defendants will pay \$21,000,000.00 in total settlement of plaintiff's claim, with Cottage Hospital paying \$9,485,000.50, Sutter Health paying \$9,485,000.50, Dr. Soffici paying \$29,999.00, Sansum paying \$1,000,000.00, and Dr. Craig paying \$1,000,000.00 (Petition, ¶ 10.)

Plaintiff's medical expenses to be paid or reimbursed from the proceeds after deductions totals \$222,458.67. (Petition, ¶ 12 (a).)

Plaintiff's attorneys request that the court approve \$6,865,763.70 from plaintiff's settlement as attorney fees and \$194,655.43 in incurred costs. (Petition, ¶ 13.)

The differences between the original petition and the SAP lie in the amounts and disposition of settlement funds.

By way of the original petition, petitioner requests:

Plaintiff, through his guardian ad litem, requests that \$4,794,260.20 of the settlement proceeds be deposited in a single-premium deferred annuity, subject to withdrawal only on authorization of the court. (Petition, ¶ 18, subd. (b) & attachment 18b(3).) The following payment structure is planned: (a) \$14,850.00 paid monthly for life, guaranteed for 40 years, beginning on June 1, 2026, with the last guaranteed payment on May 1, 2066, and (b) \$90,000.00 paid annually, guaranteed for 25 years, beginning on January 15, 2031, with the last guaranteed payment on January 15, 2055. (Ibid.)

Plaintiff also requests an order for payment of funds to a special needs trust, which is currently pending approval by Colorado Medicaid. The request is that \$8,922,862.00 be held in a qualified settlement fund pending approval of the special needs trust. Upon approval of the special needs trust, plaintiff requests that said sum be distributed to Northwestern Mutual Wealth Management Company, through Pershing, LLC, as clearinghouse, for the benefit of the "Finley Mathieu Irrevocable Trust, a special needs trust established for the sole benefit of Finley Mathieu." Plaintiff further requests that the funds be invested strictly in accordance with the Trust Investment Policy and allocated as follows: (a) Brokerage Cash Management Account in the amount of \$3,500,000, and (b) Advisory Investment Account in the amount of \$5,422,862.00. (Petition, ¶¶ 19, 20 & attachments 19, 20.)

By way of the SAP, petitioner requests:

Plaintiff, through his guardian ad litem, requests that \$4,216,637.00 of the settlement proceeds be deposited in a single-premium deferred annuity, subject to withdrawal only on authorization of the court. (SAP, ¶ 18, subd. (b)(3) & attachment 18b(3).) The following payment structure is planned: (a) \$14,850.00 paid monthly for life, guaranteed for 40 years, beginning on October 1, 2026, with the last guaranteed payment on September 1, 2066, and (b) \$90,000.00 paid annually, guaranteed for 25 years, beginning on January 15, 2032, with the last guaranteed payment on January 15, 2056. (Ibid.)

Plaintiff also requests an order for payment of funds to a special needs trust, which has been temporarily approved by Colorado Medicaid. The request is that \$9,500,485.20 be paid directly to the Trustee of the Finley Mathieu Irrevocable Special Needs Trust. (SAP, ¶¶ 18, 19, 20 & attachments 18b(4) 19, 20.)

Petitioner represents, at paragraph 19 of the SAP that: "The claimant's special needs trust has been temporary approved by Colorado Medicaid pending the following additional items in order to fully approve the Trust as a valid disability trust:

- copies of all orders issued in Case No. 22CV00092 in the Superior Court of California, County of Santa Barbara (or any ancillary or related matter) addressing payment of the Settlement Proceeds;

- proof of satisfaction of all Medi-Cal statutory liens, among other items listed in the conditional approval letter included in Attachment 18(b)(4) along with the FM Irrevocable Trust.”

Petitioner's representation is an incomplete representation of what Colorado Department of Health Care Policy & Financing (HCPF) requires in order to grant full approval. In addition to the orders in this action and the proof of satisfaction of all Medi-Cal statutory liens, HCPF requires: (1) a copy of the annuity application, (2) a complete, executed copy of the final annuity contract, (3) proof that an irrevocable assignment of the annuity naming the Trust or the Department (and any other state that provided medical assistance to the individual under such state's Medicaid program) as the remainder beneficiary was made in a legally enforceable document, (4) proof of acceptance of such irrevocable assignment by the annuity's issuing company, (5) a copy of the fully executed trust agreement of the Trust, and (6) proof of funding of the Trust's accounts. (SAP, attachment 18(b)(4).)

Also, in the SAP, petitioner leaves paragraph 15 blank. That paragraph calls for the amount of the balance of proceeds for the claimant.

Due to petitioner's steadfast refusal to comply with this court's orders and submit a petition that complies with California law, the petition continues to suffer from multiple fatal defects. A non-exhaustive list of those defects, some of which have already been brought to the attention of petitioner, is set forth below.

“The guardian or conservator of the estate or guardian ad litem so appearing for any minor, person who lacks legal capacity to make decisions, or person for whom a conservator has been appointed shall have power, with the approval of the court in which the action or proceeding is pending, to compromise the same, to agree to the order or judgment to be entered therein for or against the ward or conservatee, and to satisfy any judgment or order in favor of the ward or conservatee or release or discharge any claim of the ward or conservatee pursuant to that compromise. Money or other property to be paid or delivered pursuant to the order or judgment for the benefit of a minor, person lacking legal capacity to make decisions, or person for whom a conservator has been appointed shall be paid and delivered as provided in Chapter 4 (commencing with Section 3600) of Part 8 of Division 4 of the Probate Code.” (Code Civ. Proc., § 372, subd. (a)(3).)

“(b) A special needs trust may be established and continued under this section only if the court determines all of the following:

(1) That the minor or person with a disability has a disability that substantially impairs the individual's ability to provide for the individual's own care or custody and constitutes a substantial handicap.

(2) That the minor or person with a disability is likely to have special needs that will not be met without the trust.

(3) That money to be paid to the trust does not exceed the amount that appears reasonably necessary to meet the special needs of the minor or person with a disability.

(c) If at any time it appears (1) that any of the requirements of subdivision (b) are not satisfied or the trustee refuses without good cause to make payments from the trust for the special needs of the beneficiary, and (2) that the State Department of Health Care Services, the State Department of State Hospitals, the State Department of Developmental Services, or a county or city and county in this state has a claim against trust property, that department, county, or city and county may petition the court for an order terminating the trust.

(d) A court order under Section 3602 or 3611 for payment of money to a special needs trust shall include a provision that all statutory liens in favor of the State Department of Health Care Services, the State Department of State Hospitals, the State Department of Developmental Services, and any county or city and county in this state shall first be satisfied.” (Prob. Code, § 3604, subds. (b)-(d).)

“When money or other property is to be paid or delivered for the benefit of a minor or person with a disability under a compromise, covenant, order or judgment, and there is no guardianship of the estate of the minor or conservatorship of the estate of the person with a disability, the remaining balance of the money and other property (after payment of all expenses, costs, and fees as approved and allowed by the court under Section 3601) shall be paid, delivered, deposited, or invested as provided in this article.” (Prob. Code, § 3610.)

“In any case described in Section 3610, the court making the order or giving the judgment referred to in Section 3600 shall, upon application of counsel for the minor or person with a disability, order any one or more of the following:

(a) That a guardian of the estate or conservator of the estate be appointed and that the remaining balance of the money and other property be paid or delivered to the person so appointed.

(b) That the remaining balance of any money paid or to be paid be deposited in an insured account in a financial institution in this state, or in a single-premium deferred annuity, subject to withdrawal only upon the authorization of the court, and that the remaining balance of any other property delivered or to be delivered be held on conditions the court determines to be in the best interest of the minor or person with a disability.

(c) After a hearing by the court, that the remaining balance of any money and other property be paid to a special needs trust established under Section 3604 for the benefit of the minor or person with a disability. Notice of the time and place of the hearing and a copy of the petition shall be mailed to the State Director of Health Care Services, the Director of State Hospitals, and the Director of Developmental Services at the office of each director in Sacramento at least 15 days before the hearing.” (Prob. Code, § 3611, subds. (a)-(c), italics added.)

The first issue with petitioner’s request is that there is nothing before the court showing that petitioner complied with the requirement of mailing a copy of the SAP (or any of the previous petitions) to the State Director of Health Care Services, the Director of State Hospitals, and the Director of Developmental Services at the office of each director in Sacramento at least 15 days before the hearing. The representation that the “DHCS is being reimbursed because of this settlement” (supp. brief, p. 6, ll. 12-13), does not relieve petitioner of the statutory obligation of serving a copy of the SAP on the listed entities.

“If a court makes an order under Section 3602 or 3611 that money of a minor or person with a disability be paid to a special needs trust, the terms of the trust shall be reviewed and approved by the court and shall satisfy the requirements of this section. The trust is subject to continuing jurisdiction of the court, and is subject to court supervision to the extent determined by the court. The court may transfer jurisdiction to the court in the proper county for commencement of a proceeding as determined under Section 17005.” (Prob. Code, § 3604, subd. (a)(1).)

The second issue with petitioner’s request is that it would potentially deprive the court of the jurisdiction that it is required to exercise. Petitioner is not requesting that jurisdiction simply be transferred to another county. Rather, petitioner is, in effect, requesting that jurisdiction be transferred to another State. Simply including in the order that the court retains jurisdiction is insufficient. In fact, the proposed Trust itself divests California of jurisdiction. Paragraph 4.1 includes: “Any provisions inconsistent or contrary to the intent and provisions of the above-referenced federal law or Colorado law shall be deemed to be void and of no further force or effect.” Paragraph 4.13.3 includes: “The Trust shall be subject to the jurisdiction of the State of Colorado.” Paragraph 6.5 provides: “The interpretation and operation of the trust shall be governed by the laws of the State of Colorado. The Trustee may, without prior authority from any court, exercise all powers conferred by this Agreement or by common law or by any fiduciary powers act or other statute of the State of Colorado or any other jurisdiction whose law applies to the trust. The Trustee shall have sole and absolute discretion in exercising these powers. Except as specifically limited by this Agreement, these powers shall extend to all property held by the Trustee until actual distribution of the property.”

A third issue with the proposed Trust is that it does not provide for notification to the State Department of Health Care Services, the State Department of State Hospitals, the State Department of Developmental Services, or a county or city and county in this state of any information that would allow those entities to exercise their rights under Probate Code section 3604, subdivision (c). The trust only requires notification of distributions and other pertinent information to HCPF.

Further, the proposed Trust document cannot be approved by this court because the court is unsure what the final Trust document will include once it is finally approved by HCPF (if they approve it at all). All petitioner has is a preliminary approval from HCPF with a request for several additional items. Those documents very well could cause HCPF to insist on modifications to the Trust.

Again, this is a non-exhaustive list of reasons why the petition cannot be approved.

To briefly address petitioner's supplemental brief filed on September 8, 2026: The court understands the arguments regarding the limits of FDIC insurance amounts, but that fact does not permit petitioner to circumvent the law. A deposit into a blocked account is not the only means for disposition of plaintiff's settlement funds.

Petitioner has had more than one full and fair opportunity to submit a petition, and orders, that comply with California law. Petitioner has adamantly refused to do so, choosing instead to make minor modifications to the original petition and continue with arguments that have no merit. The petition will be denied. Should petitioner choose to file a petition that seeks disposition of the settlement funds in a manner that is consistent with California law, the denial will be without prejudice.

Judges

Judge Donna D. Geck

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